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Primary Auction Note – October 2021

The central bank is looking to raise **KES 60.00 Bn** for budgetary support by reopening three bonds, **FXD1/2013/15**, **FXD3/2019/15** and **FXD1/2021/25**. The bonds will attract coupon rates of **11.25%**, **12.34%** and **13.92%** and are currently trading at yields of **11.73%, 12.76%** and **13.50%,** respectively.

Tightened money market liquidity: In the past weeks, liquidity in the money markets has shrunk on the back of a heavily oversubscribed IFB issue earlier in the month, as well as, aggressive open market operations by CBK. In FY2021/22, the government's appetite for debt remains elevated due to its high expenditure while revenue collections are expected to fall below target.

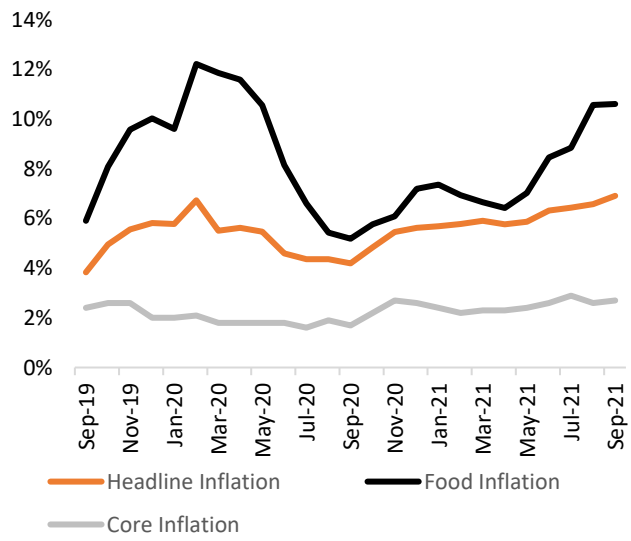
We expect the shorter dated paper, FXD1/2013/15, to attract the highest interest as investors seek to reduce duration. Due to the tight liquidity in the money market, the bonds are likely to be undersubscribed. However, we foresee the government rejecting expensive bids as it is currently **65.18%** ahead of its prorated borrowing target having a net borrowing position of **KES 271.93Bn** in FY2021/22.

Recent high acceptance levels on bond application coupled with expected low bid volume shows an **aggressive tone** should be adopted in application. We advise investors to bid within the range of **11.74%** to **11.89%** for the **FXD1/2013/15, 12.89%** to **13.04%** for the **FXD3/2019/15** and **13.69%** to **13.84%** for the **FXD1/2021/25**

Secondary Bond Market:

In September, the secondary market activity increased with the turnover increasing by **38.14%** to **KES 114.74Bn ($1,043.13Mn)** from **KES 83.06Bn ($762.02Mn)** witnessed in August.

September Inflation:



In September, Headline inflation increased to **6.91%** from **6.57%** in August. The CPI increased by **0.32%** from **115.70** in August to **116.08** in September.

Meanwhile, food and beverage index increased by **0.11** due to the increase in prices of select food items.

We expect an increase in headline inflation on the back of higher food and fuel prices. Fuel prices are expected to edge higher due to the increase in global economic activity which has exerted upward pressure on global oil demand.

October 1st , 2021

RECOMMENDATIONS:

FXD1/2013/15

Bid 11.74% to 11.89%

FXD3/2019/15

Bid 12.89% to 13.04%

FXD1/2021/25

Bid 13.69% to 13.84%

Period of Sale: 21/09/2021 to 05/10/2021

Sovereign Credit Rating:

Moody's: B2 (negative)
Fitch: B+ (negative)
S&P: B (stable)

CPI: (2019=100):
116.08

September Inflation: 6.91%

Interbank rate (30th Sept 2021): 6.61%

C.B.R (September 2021): 7.00%

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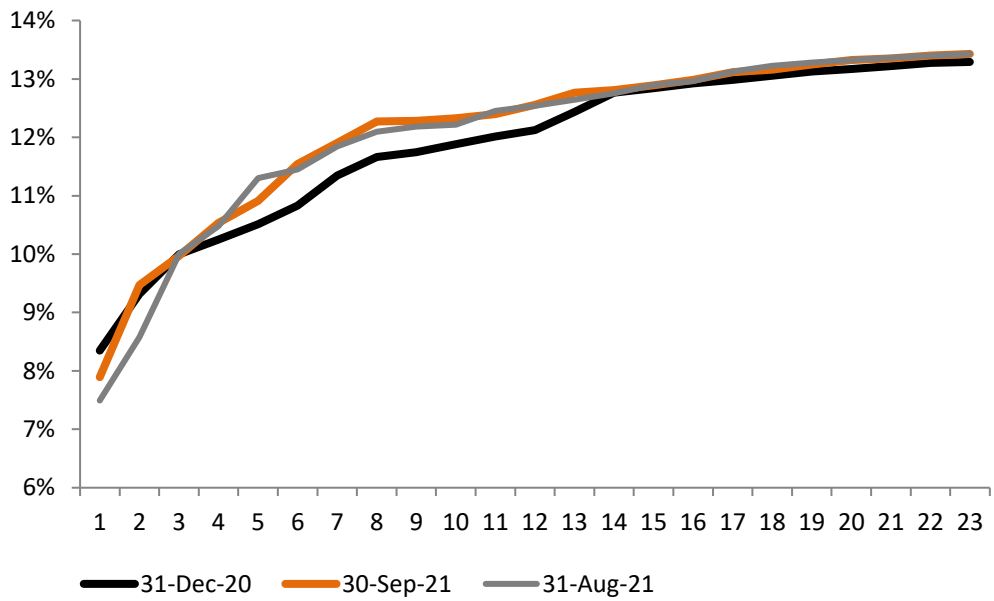
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Interbank

During the month, the government withdrew money from the money market. Consequently, the interbank rate spiked from **3.36%** as of 31st August to **6.61%** as of 30th September.

In September, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank rate at 7.00% as it sought to support economic growth, and inflation remained below its upper target of 7.5%.

NSE Yield Curve



During the month, the yield curve shifted upwards on the shorter curve but held steady the mid and longer section. We expect the yield curve to remain relatively unchanged with an upward bias on the short end of the curve.

Currency:

The Kenya Shilling (KES) has continued to come under pressure in September by losing **0.56%** against the greenback. On the 30th of September, the KES closed at a value of **KES 109.49/$** versus the **KES 109.87/$** witnessed at the end of August. The shilling is likely to remain under pressure mainly due to an increase in the import bill from rising oil prices and reduced export earnings.

CBK's usable foreign exchange reserve increased to **USD 9,521 million** in September from **USD 8,986 million** at the end of August, representing an increase to **5.82 months** of import cover from **5.49 months** of import cover. The reserves are still sufficient as they remain above the CBK's statutory requirements of four months of import cover.

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